of stents is too high in the eyes of a policymaker. The coercive power of the state is sometimes deployed into a price control. These never work.

A price of wheat that is too low in the eyes of the producer is a bonanza in the eyes of the consumer of wheat, and vice versa. For every exporter who gains when the rupee depreciates, there is an importer who gains when it appreciates. Once policymakers get into having an opinion on prices, they have to adjudicate conflicts between different groups of people who see prices from the buyers perspective vs the sellers perspective. There is only one objective way to think about price: the correct price is the one made by supply and demand, untrammelled with political influences.

> *The market is not an invention of capitalism. It has existed for centuries. It is an invention of civilization.*
>
> Mikhail Gorbachev

Policymakers need to learn to respect the prices that come out of the large numbers of free people buying and selling. Sometimes, prices go wrong because of market failures. As an example, a monopolist tends to drive up the price and earn supernormal profits. If so, the solution lies in addressing the root cause—the market failure. Controls on prices are illegitimate and do not work.

Policymakers of a socialist vintage feel they should have a large number of levers of control through which prices can be controlled. Modern thinking in public economics guides us into focusing on the appropriate role for policy: addressing market failures. The state is not here to control prices based on rival political influences; the state is here to address market failures.

In India, we started out with a government which controlled the price of steel and cement, and many other things. By and large, mainstream knowledge of economics in India circa 2019 has reached a point where there is no interest in price control for cement and steel. But should you bring up the exchange rate, policymakers switch back to craving for state power in setting the exchange rate, or as it is more euphemistically stated these days, in ‘controlling the volatility of the rupee’.